

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

– vs. –

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**COMPLAINANTS' REPLY TO RESPONDENTS' RESPONSE TO ORDER FOR
PARTIES TO SUPPLEMENT THE RECORD**

Pursuant to the Presiding Officer's Order of June 29, 2016 which directed the parties herein to supplement the record in this matter, Complainants, through their Counsel, Marcus A. Nussbaum, Esq., respectfully submit the instant Reply To Respondents' Response To Order For Parties To Supplement The Record as follows:

PRELIMINARY STATEMENT

It is respectfully submitted that in lieu of responding to the Presiding Officer's clear and unambiguous nine (9) inquiries, wherein the Presiding Officer requested *information certain* responsive to a direct inquiry posed, Respondents have in their purported response thereto,

completely and flagrantly disregarded the Presiding Officer's directive by abjectly failing to provide either written response or documents which directly responded to the inquiry posed.

Instead, Respondents wrongfully and underhandedly 'misused and abused' the Presiding Officer's request by request by proffering wholly gratuitous statements, and regurgitating failed arguments set forth in Respondents' separately interposed Motion for Judgment on the Pleadings. Indeed, Respondents blatantly lift entire sections from said motion and have needlessly 'cut and pasted' same into their Response, despite the fact that such "argument" is not remotely connected to the Presiding Officer's requests. In so doing, Respondents have wrongfully sought to gain unfair advantage by submitting argument in support of their separately interposed motion previously made therein.

Respondents have further proffered Affidavits of individuals which, as set forth below, completely belie, refute, and are at odds with the representations of Respondents' own counsel.

Respondents have additionally submitted documents which have clearly been 'edited', with obvious indications of the cutting and pasting of sections from separate documents, fraudulently misrepresented by Respondents as being original documents.

In virtually each and every instance Respondents "response" *completely begs the question asked* as to the specific inquiry posed and responds with gratuitous argument bearing no semblance, connection, or nexus to the inquiry posed, other than to give vent to Respondents' grossly improper attempts to take additional "bites at the apple" in alleged support of their ill-founded and failed motion separately pending before the Presiding Officer.

As set forth below, and with respect to each and every separate inquiry, it is respectfully submitted that the Presiding Officer should reject Respondents non-responsive answers, irrelevant and gratuitous arguments, and fraudulently created documents, and accord none of the foregoing

any consideration whatsoever.

GENERAL OBJECTIONS

It is respectfully submitted that from the very first utterance purporting to respond to the Presiding Officer's very first inquiry and continuing throughout the entirety of the nine (9) inquiries posed, Respondents have directly, blatantly, and willfully refused to admit or deny whether Respondent Empire United Lines Co. Inc. ("EUL") *was or was not* a common carrier. Instead, Respondents submit turgid representations which neither admit nor deny but "assume" that EUL was acting as a common carrier. Clearly such a euphemistic response is unacceptable and non-responsive to the Presiding Officer's inquiry.

Complainants further object to Respondents' having attached, and relied upon an affirmation of Respondent Michael Hitrinov ("Hitrinov") as evidence of *anything* in that said affidavit is part of a separately interposed motion *which has not yet been ruled upon* by the Presiding Officer and which will be the subject of a soon to be interposed motion to strike a fraudulent document.

Complainants additionally object to Respondents' reference to a non-entity, "Global Auto Enterprise(es)" which is a fictitious title for a nonexistent so called conglomerate.

Complainants also object to Respondents having attached several documents clearly written in a foreign language with no accompanying Certified English translation, thus depriving Complainants of knowledge or notice of the content of said documents.

Complainants further object to Respondents having wrongfully attached, relied upon, and made argument regarding an affidavit from one Sergey Kapustin ("Kapustin"), "signed" by Mr. Kapustin, but clearly authored by counsel, lifted from a separate motion seeking relief wholly unrelated to the Presiding Officer's instant nine (9) inquiries, and submit that aside from Mr.

Kapustin's galactic lack of credibility discussed below, that the Presiding Officer should reject such affidavit as irrelevant unreliable, and not constituting a "document" in support of Respondents' representations, but rather an attorney's writing created for litigation.

Complainants additionally object to Respondents having attached and relied upon an Affidavit from Respondent Hitrinov referenced above, in that not only said affidavit was clearly authored not by Respondent Hitrinov but rather by counsel, but considerably more egregiously, the signature purported to be that of Respondent Hitrinov is fraudulent, and has been forged. To that end, Complainants have attached the report of a forensics handwriting expert, Ms. Jennifer Naso, who concludes that it is "highly probable" that the signature on said affidavit is not that of Respondent Hitrinov; the latter to be included in Complainants aforementioned and soon to be filed Motion to Strike Fraudulent Documents.

As to the affidavit of the aforementioned Mr. Kapustin, it is respectfully submitted that a parallel court of competent jurisdiction has found Mr. Kapustin to be a fraud and a pathological liar. As to Mr. Kapustin himself, the Presiding Officer should be aware that the Honorable Judge Noel L. Hillman of the U.S. District Court for the District of New Jersey had the following to say about potential "Intervenor" Sergey Kapustin:

"...you are engaging not only in a fraud against the plaintiffs in this case, but a fraud against this Court, and I have warned you repeatedly, and I am not going to warn you anymore...you appear to be compelled to continue to offer false excuses, false statements, and misrepresentations to this Court designed to defraud this Court just as you have defrauded the plaintiffs in this case. I am at wit's end with you. ***In my nine years as a judge, I have never seen someone so willing to lie and cheat and steal than you, and your crimes extend to this Court.***" (See, Transcript of Proof Hearing, dated August 31, 2015, *Akisev et al v. Kapustin et al*, p. 91, a copy of which is annexed as Appendix "A" to Complainants' Motion For Leave To File Reply To Motion For An Extension Of Time To Respond To Motion To Intervene of July 21, 2016) (emphasis added).

**THE PRESIDING OFFICER SHOULD NOT BE MISLED OR DECEIVED BY THE
DOCUMENTS MANUFACTURED BY RESPONDENTS FOR PURPOSES OF
RESPONDING TO THE ORDER FOR PARTIES TO SUPPLEMENT THE RECORD**

As explained herein, the Respondents have fraudulently created various documents for purposes of responding to the Presiding Officer's nine inquiries, and which Respondents purport to be the "shipping documents" relevant to the export of Complainants' vehicles. In order to unmask the fraud perpetrated by Respondents upon the Commission and the Presiding Officer, the information set forth below provides a framework within which the Presiding Officer may evaluate Respondents' proffering of various "shipping documents" or Respondents' excuses as to why said documents allegedly do not exist (which Respondents' attempt to justify by referring to "special agreements" between Respondents and Sergey Kapustin which allegedly did not require the creation of documents certain, among other excuses).

The Presiding Officer is aware that in the United States, the Automobile Export Industry is regulated by three government entities, to wit: The Federal Maritime Commission, U.S. Customs and Border Protection ("CBP"), and the U.S. Census Bureau. All three of these entities require the filing of documents certain as part of the export process. These documents overlap, and the Respondents' who purport to have been "beneficial cargo owners" were required by law to present these documents to CBP and the U.S. Census Bureau before export. These documents clearly establish who the "owner", "consignee" and provide other identifying information with respect to the transactions at issue.

Documentation Requirements For Exporting A Vehicle

US Customs and Border Protection Requirements

The exportation of motor vehicles requires additional procedures as mandated by 19 CFR 192.2(a) which states: "A person attempting to export a used self-propelled vehicle shall present

to Customs, at the port of exportation, both the vehicle and the required documentation describing the vehicle, which includes the Vehicle Identification Number or, if the vehicle does not have a Vehicle Identification Number, the product identification number. Exportation of a vehicle will be permitted only upon compliance with these requirements, unless the vehicle was entered into the United States under an in-bond procedure, or under a carnet or Temporary Importation Bond; a vehicle entered under an in-bond procedure, or under a carnet or Temporary Importation Bond is exempt from these requirements. The person attempting to export the vehicle may employ an agent for the exportation of the vehicle. "

Specific documentation requirements are set forth under 19 CFR 192.2 (b) (1) FOR U.S.-titled vehicles as:

- (i) Vehicles issued an original certificate of title. For used, self-propelled vehicles issued, by any jurisdiction in the United States, a Certificate of Title or a Salvage Title that remains in force, the owner must provide to Customs, at the time and place specified in this section, the original Certificate of Title or a certified copy of the Certificate of Title and two complete copies of the original Certificate of Title or certified copy of the original.
- (ii) Where title evidences third-party ownership/claims. If the used, self-propelled vehicle is leased or a recorded lien exists in the US., in addition to complying with paragraph (b)(1)(i) of this section, the provisional owner must provide to Customs a separate writing from the third party-in-interest which expressly provides that the subject vehicle may be exported. This writing must be on the third-party's letterhead paper, and contain a complete description of the vehicle including the Vehicle Identification Number (VIN), the name of the owner or lienholder of the leased vehicle, and the telephone numbers at which that owner or lienholder may be contacted. The writing must bear an original signature of the third-party and state the date it was signed.

CBP further clarified the regulations for the Port of New York/New Jersey by Informational Pipeline of June 30, 2008 No. 08-012-NWK that requires the document set submitted to CBP consist of:

1. Original certificate of title
2. Duplicate certificate of title (front and back)

3. Plus one of the following:
 - a. Dock Receipt
 - b. Bill of Lading
 - c. Intent to Export Form

The Pipeline also requires that ***Dock Receipts may not be altered in any way and that original pier-date stamps, VIN Numbers and Shipper/Consignee information must be legible and complete.*** In the Customs Port of Newark (NY and NJ port area) the vehicle could be exported if the vehicle and documents were properly presented and no issues found, or 72 hours expires. This process was in force from Pipeline 08-012-NWK dated June 30, 2008 until December 4, 2015 when new Pipeline No. 16-004-NWK superseded with new requirements that vehicles must be held on dock until the stamped title is released by CBP regardless of whether 72 hours has lapsed. This is the typical practice by CBP today.

United States Census Bureau Requirements

A Shipper's export declaration is required to be submitted to US Census before the cargo is exported. Originally a paper process (no longer accepted), this data is generated as Electronic Export Information (EEI) in the Automated Export System (AES) per regulations today.¹ The filing is done either directly by the U.S Principal Party of Interest (USPPI), or can be submitted by a third party Freight Forwarder or NVOCC when requested and authorized through power of attorney. The definition of USPPI is the person in the United States that received the ***primary*** benefit, monetary or otherwise, of the transaction.

Export Transaction (§30.3)

The U.S. Principal Party in Interest (USPPI) receives payment from a foreign buyer and

¹ 15 CFR 30.3, Census Bureau § 30.3 Electronic Export Information

files the export information or appoints an authorized U.S. agent to prepare and file the EEI. If the USPPI authorizes an agent to file on its behalf, the USPPI must provide the agent a written authorization or power of attorney, as well as make the necessary license determination on the product, if a license is required.

Responsibilities in an Export Transaction (§30.3 (e))

Authorized US Agent Responsibilities:

- Obtain the authorization from the USPPI
- Provide transportation data
- Provide the USPPI with export information that it provided as submitted through the AES, if requested
- Retain documentation

In accordance with the foregoing, the Respondents would not have been able to export the subject automobiles without having presented shipping documents to CBP such as the validated certificates of title, and dock receipts with a pier date stamp. Additionally, Respondents could not have filed the EEI in the Automated Export System without having written authorizations and/or powers of attorney to do so, as EUL is listed as the freight forwarder on the AES printouts, and Respondent Hitrinov is identified as the point of contact. Not a single validated certificate of title has been produced by Respondents herein, nor have Respondents produced a single dock receipt with a pier date stamp. The production of these documents would have quickly and expeditiously resolved the Presiding Officer's nine inquiries below. Instead, Respondents have produced altered emails which have been cut and pasted; documents purporting to be a "dock receipt/bill of lading" without stamps and which do not identify who issued them (no letterhead, no FMC License Number, no forwarding agent information); and other documents created by Respondents for

answering the nine inquiries below and which were never presented to CBP during the export process.

RESPONDENTS HAVE ATTEMPTED TO CONCEAL DOCUMENTS PREVIOUSLY PRODUCED BY THEM IN OTHER LITIGATION AND WHICH DEMONSTRATE THAT THE COMMISSION HAS JURISDICTION OVER THIS MATTER

Annexed hereto as **Appendix “1”** is an email produced by EUL in during litigation in the matter of *Global Auto Inc. et al., v. Michael Hitrinov et al.*, U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-2479. This email, bated stamped EUL_001946 clearly contains an admission from Respondent Hitrinov that “Investing Money [in the subject vehicles] has nothing to do with shipping and storage...” therefore establishing that EUL was not shipping the subject automobiles as a “beneficial cargo owner” as alleged by Respondents.

Annexed hereto as **Appendix “2”** are three emails dated May 13, 2013, May 14, 2013, and May 13, 2013 respectively, with spreadsheets attached. These documents were produced by EUL during the litigation mentioned above. These emails which were from Carcont to Respondent Hitrinov, contain spreadsheets listing the make, model, model, VIN# of the subject automobiles, and which identify the Complainants by name. These documents even make reference to the specific invoice numbers of the invoices provided by G Auto Sales Inc. to Complainants at the time that said vehicles were purchased by Complainants. The Presiding Officer is referred to this Appendix and specifically to pages bates numbered EUL_004311, EUL_004312, EUL_004314, EUL_004316, EUL_004317, EUL_004319 and EUL_004327. These documents establish that in 2013, Respondents were clearly aware of who the ultimate consignees were for the vehicles, as well as G Auto having sold said vehicles to Complainants. Notably these documents also identify the “Beneficiary” shipper from the United States, to wit: G Auto Sales Inc.

Annexed hereto as **Appendix “3”** are two spreadsheets produced during discovery in the

litigation mentioned above bates numbered PLS10024 and PLS10024, which identify the year, make, model, and VIN number of the subject automobiles, and which also list the container number, name of the “client” (i.e. the Complainants) together with the invoice number issued by G Auto Sales Inc. Respondents were clearly aware of the existence of these documents, and have actively concealed the above mentioned documents in an effort to “change their story” herein as to their role as NVOCC and/or Freight Forwarder (and not as beneficiary cargo owner) in these transactions.

**COMPLAINANTS’ REPLIES TO RESPONDENTS’ RESPONSES
TO THE NINE (9) INQUIRIES POSED**

1. ***Identify each common carrier that assumed responsibility for transportation of the automobiles from the United States to a port or point in a foreign country.***

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the entity who was responsible for transporting the subject vehicles from the United States to Finland.

It is elemental that such “transportation” implies and involves three segments: (a) the entity that was responsible for transporting the vehicles to the vessel which carried said vehicles overseas; and (b) the entity responsible for such overseas transport from the port of loading in the United States to a port of destination in a foreign country; and (c) the entity that was responsible for transporting the vehicles from the port of destination to the customs bonded warehouse in Finland for unloading from the container, storage and release to the ultimate consignee. Despite the unequivocal meaning of the Presiding Officer’s inquiry, the Respondents were either unwilling or unable to provide responses to the inquiry posed.

Specifically, while respondents freely and repeatedly identified Mediterranean Shipping Company (MSC) as the common carrier responsible for the aforementioned overseas transport of the subject vehicles, Respondents have cannily, willfully, contumaciously, and deliberately sought to confuse, hide, and obfuscate the role of Respondent EUL, as a common carrier who transported the vehicles from its warehouse in the United States to the subject vessel, then from the port of destination to the customs bonded warehouse for unloading, storage, and release to the ultimate consignee.

Despite the unethical contortions of Respondents’ counsel to evade and avoid a clear and direct response to the Presiding Officer’s inquiry, Respondents’ counsel was “hoisted by his own petard” via direct contravention of such evasion in the very affidavit upon which Respondents have relied.

Specifically, and in ¶ “14” of Respondent Hitrinov’s much vaunted affidavit, Mr. Hitrinov states as follows:

“From EUL’s perspective, it was transporting these vehicles...EUL...agreed to a flat rate of \$750 for transportation of each of the...Vehicles when arranged by EUL and to operate with the master bills of lading issued by the ocean carriers (in this case MSC).”

Clearly, from “EUL’s perspective”, EUL was responsible for transporting the subject vehicles to the subject vessel and thus was unequivocally and undisputedly functioning as a “common carrier” despite the obfuscation of Respondents’ counsel to the contrary. As such, the euphemistic “assumption” employed by Respondents in each and every one of the Presiding Officer’s nine (9) inquiries is now exposed and EUL’s undisputed role as a common carrier confirmed.

With regard to Respondents’ curious reference to an affidavit signed by the aforementioned Mr. Kapustin but clearly authored by counsel; specifically at ¶¶ “19”, “22”, and “23”, it is respectfully submitted that the text of said paragraphs are grossly irrelevant to and have nothing whatsoever to do with the Presiding Officer’s inquiry requesting identification of the common carriers. As to ¶¶ 19, the reading of same reveals that said paragraph speaks solely and exclusively about bills of lading and makes *no reference whatsoever* to anything remotely connected to identification of common carries, Rather, said reference serves as an example of Respondents gratuitously inserting “argument” that is not remotely responsive to the Presiding Officer’s directives, nor to the subject matter of the inquiry posed.

As to ¶ “20”, though not specifically cited or relied upon by Respondents, said paragraph reads in relevant part as follows:

“The loading of the...vehicles in the USA and the transportation of the loaded vehicles **to the port in the USA** were provided by Empire...” (emphasis added)

The foregoing provides further confirmation and admission by EUL that they were responsible for transporting the subject vehicles to the subject vessel at the departure port and were thus undeniably acting as a common carrier. Clearly, the foregoing provides no support *whatsoever* for any of Respondents’ contentions or defenses to Complainants’ instant claims, other than to again concede and admit EUL’s undisputed role as a common carrier of the subject vehicles.

As to ¶ “22”, once again this paragraph has no bearing or connection whatsoever to identification of common carries but is gratuitously paraded before the Presiding Officer to advance Respondents’ wholly unrelated and specious arguments as to the fictional non-entity, “Global Auto Enterprise”; makes irrelevant references to bills of lading; and is completely devoid of any information identifying common carriers.

As to ¶ “23”, once again the content of said paragraph has no connection whatsoever to identification of common carries. Rather, said paragraph again advances the fictitious entity here alternatively referred to as the Global Auto Group (as opposed to enterprise), and again, rambles

on ad nauseum about bills of lading to some unidentifiable purpose which Respondents apparently believe somehow advances their case but which in no way responds to the Presiding Officer's inquiry posed.

In sum, and aside from identifying MSC as the common carrier, who transported the subject vehicles from a port in the United States to a foreign port of destination, Respondents have entirely "begged the question" posed by the Presiding Officer in abject bad faith, and have gratuitously interposed wholly irrelevant argument and representations which should be completely rejected and accorded no consideration whatsoever by the presiding officer.

2. *For each carrier, identify the shipper or shippers.*

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the shipper(s) of the subject vehicles.

Identical to their purported response the preceding inquiry, Respondents have again improperly only adopted an "assumption" that EUL was acting as a common carrier, a fact now definitively proven as set forth above. That said, it is noted that defendants identify "Global Auto Inc." as the shipper for EUL as carrier who transported the subject vehicles to the subject vessel for overseas transport to a foreign port of destination.

Once again, Respondents further attempt to confuse the reader by cross-referencing documents purportedly responsive to subsequent inquiries, while inexplicably failing to attach same to the instant inquiry.

With regard to said reference to attachment "3A", it is noted that said document purports to be an invoice for shipping sent to the attention of Global Auto USA. Significantly, and based on the actual bills of sale for the subject vehicles, the name "Global Auto USA" appears nowhere. Rather, and consistent with Complainants' contentions and other supporting documents in the case, "G-Auto Sales Inc." was the seller of the subject vehicles and *no other supposed 'Global' entity*.

As to Respondents' reference to attachment "2A" through 2D", it is noted that said document is an MSC bill of lading identifying EUL as shipper.

As to the balance of Respondents' purported response to this inquiry, once again Respondents have gratuitously included self-serving "argument" *wholly unrelated to the inquiry posed* and propounding theories predicated upon assumptions and as yet unproven factual allegations which were included in Respondents' separately interposed Motion for Judgment on the Pleadings and restated herein and throughout Respondents' instant Response, ad nauseum.

It is further noted, and though equally nonresponsive to the inquiry posed, that Respondents continue to try to advance their creation of the fictitious entity "Global Auto Enterprise", inclusive of grossly misrepresenting that Complainants allegedly identified this nonexistent entity in paragraph "36" of the Complaint. Needless to say, and despite the patently false and blatant misrepresentations of Respondents and their counsel, the words "Global Auto Enterprise" appear nowhere within paragraph "36" nor any other part of the Complaint.

As to Respondents having included an affidavit from Respondent, Hitrinov, and separate and apart from the issue of Respondents having submitted a fraudulent document containing a forged signature professed to be that of Mr. Hitrinov, a careful reading of the paragraphs at issue reveal that consistent with the form of each of Respondents' purported responses to the Presiding Officer's inquiries, said paragraphs are grossly irrelevant to the inquiry posed.

As to paragraph "13" of Mr. Hitrinov's affidavit, it is noted that apart from contrived and self-serving "argument" purporting to usurp the role of the Presiding Officer as the finder of fact through fallacious and false representations, *nowhere* within the course of said paragraph is *any* entity identified as a shipper responsive to the Presiding Officer's inquiry.

As to paragraph "14" of Mr. Hitrinov's affidavit, once again the verbiage of this paragraph is limited to didactic pronouncements as to Respondents' own deluded self-interpretations of their role and that of others in these transactions all the while failing to respond to the Presiding Officer's inquiry, other than to ultimately acknowledge MSC as carrier of the subject vehicles.

3. ***For each carrier, identify the consignee or consignees.***

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the consignee(s) of the subject vehicles for each carrier.

Once again, in lieu of simply providing a clear and cogent answer directly responsive to the Presiding Officer's inquiry, Respondents continue to 'waffle' on the issue of EUL as carrier, despite the admissions contained in Respondents' own documents.

Apart from the foregoing, it is noted that Respondents have identified CarCont LTD ("Carcont") as consignee for both EUL and MSC as carriers.

True to form, however, Respondents have once again gratuitously inserted "argument", even going so far as to provide their own didactic pronouncements as to definition of terms, in a continued attempt to prejudice and usurp the Presiding Officer's role as finder of fact.

Without engaging in a point-by-point refutation of the improper argument gratuitously proffered by Respondents which is once again, wholly unrelated to the inquiry posed, suffice it to say that Complainants alleged inability to "point" to documents identifying Complainants as "consignee" arises out of the fact that the documents listing Carcont as consignee are incorrect, and were purposely drafted as such by EUL as part of the overriding scheme to defraud Complainants.

Additionally, and with regard to Respondents' similarly gratuitous and grossly unrelated reference to Respondents' Reply on their Motion for Judgment on the Pleadings, to the extent that Respondents continue to rely upon the fraudulently created affirmation of Respondent Hitrinov and that of a proven fraud and pathological liar, Mr. Kapustin, Complainants will not burden the Court by restating the obvious lack of credibility that lies in each of these affirmations, other than to note Respondents' circular argument, and convoluted representations purposely inserted to frustrate and obfuscate the issues and to avoid responding to the Presiding Officer's inquiry.

It is further noted that with respect to attachments 5A, 5B, 5C and 5D, these documents are written in a foreign language for which no certified English translation has been provided and must this be rejected by the presiding Officer, inclusive of any purported “argument” made thereon.

4. *For each carrier, identify the port or point of origin.*

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the port or point of origin for each carrier.

Despite the unequivocally clear nature of the inquiry posed, Respondents once again frustrate the Presiding officer’s inquiry, by ridiculously claiming “there are no ‘points’ of origin. Clearly, the subject vehicles did not materialize at the port of origin out of thin air.

Though inexplicably ignored by Respondents, it is undisputed that the subject vehicles “originated” at EUL’s warehouse facilities, following the vehicles having been purchased at auction by G-Auto Sales Inc or Effect Auto Sales Inc., who transported the vehicles to EUL’s warehouse facilities. Consequently and despite continuing and seemingly endless obfuscation, by Respondents’ counsel the Presiding Officer should reasonably conclude that while the vehicles were shipped “port to port” by MSC, the point of origin was at EUL’s warehouse facilities.

That said, and aside from continuing to only “assume” that EUL was a common carrier, again despite the admissions contained in Respondents’ very own “supporting” documents, Respondents correctly assert that once the subject vehicles left their point of origin (to wit: EUL’s warehouse facilities), said vehicles were transported by EUL as common carrier to their point of departure, to wit: the Port of New York.

It is clear, at last to Complainants, that the inquiries posed by the presiding officer had been posed in furtherance of obtaining the very information that Respondents have evaded, avoided, and otherwise willfully, deliberately, and contumaciously refused to provide; opting instead to provide “irrelevant argument” wholly unrelated to the Presiding Officer’s inquiry, and serving no other apparent purpose than serving Respondents’ preset “agenda” from which they will not deviate despite the inquiry posed.

It is further undisputed, as confirmed by the attachments appended by Respondents to this inquiry, that EUL was undisputedly acting as a “freight forwarder”.

The Presiding Officer is respectfully referred to Respondents’ attachments 4A-4D where in each and every case and with respect to each of the four vehicles, EUL is unequivocally listed as “freight forwarder” inclusive of specifically listing respondent Hitrinov as contact person.

Indeed, by definition, the term “freight forwarder” explicitly identifies an entity who is “forwarding freight” on behalf of another. Alternatively stated, an entity cannot, as a matter of maritime law, be construed to a “freight forwarder” if it is shipping its own vehicles.

5. ***For each carrier, identify the date the shipment began.***

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the date the shipment began for each carrier.

Once again, Respondents are either unwilling, unable, or both to provide a clear, cogent and direct response to the inquiry posed. In lieu of such a short clear and direct response, Respondents provide their own interpretation of FMC tariff regulations, and present their own subjective standards as to the date that a given shipment begins.

Through such turgid and manifestly unclear “argument” (if it can fairly be characterized as such); and despite once again merely “assuming” EUL’s now proven role as a carrier, it is noted that Respondents have provided dates certain based upon Respondents’ own subjective interpretation as to when the subject shipment began.

In stark contrast to Respondents’ subjectively eccentric interpretation, it is respectfully submitted that industry custom and practice denotes that the shipments “begin” on the date that the subject automobiles are presented to U.S. Customs and Border Protection (“CBP”) Officers for export and the Certificates of Title are “validated” by CBP. By email of May 3, 2016, a copy of which is annexed hereto as **Appendix “4”**, Respondents’ counsel acknowledged that the validated titles were “shipping documents”.

In the case at bar, “the date the shipment began” is established by the Certificates of Title containing the validation “perforation” by CBP. Needless to say, conspicuous by their absence is any inclusion of copies of said validated Certificates of Title indicated when the shipment began, which would be responsive to the Presiding Officer’s inquiry.

Further, it is axiomatic that the “date the shipment began” for MSC as carrier, was the date that the subject automobiles were loaded on board as reflected on the MSC Bills of Lading conspicuously absent from Respondents’ attachment in furtherance of a demonstrated continuing effort to confuse and obfuscate the issues and wilfully evade responding to the Presiding Officer’s inquiries.

As to Respondents’ continuing and bizarre practice of referencing attachments to other inquiries in a deliberate attempt to confuse the reader, Exhibit “6A”, along with several other attachments appended by Respondents it is clearly redolent of having been “cut and pasted” from several other documents, even to the point of containing an email heading of Respondents’ junior associate. Such “cut and pasting” is further evidenced by emails containing salutations and signatures, where the body of the email has clearly been edited out in favor of pasted information and attachments from and relating to other documents.

It is respectfully submitted that the latter constitutes nothing short of the attempted perpetration of a fraud upon the Presiding Officer specifically and the FMC in general, and warrants independent investigation by the Presiding Officer ancillary to the instant inquiries at bar.

6. ***For each carrier, identify the port or point of delivery.***

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the port or point of delivery for each carrier.

Once again, Respondents have adopted a patently absurd position, to wit: that “there were no points of delivery” for the subject vehicles, the absurdity of which is self-evident. In point of fact, however, the point of delivery for the subject vehicles was Carcont’s facility, where but for the fraudulent conspiracies of Respondents, the vehicles would have been released to Complainants as rightful owners. Consequently, for EUL as carrier, the point of delivery was Carcont’s facilities.

With regard to MSC as carrier, the point of delivery for MSC as carrier was the port of Kotka, Finland.

Respondents’ attachments only bear noting that to the extent that once again having been submitted in a format and containing headings strongly suggesting that these documents were “cut and pasted” and are not original documents, and should thus be rejected by the Presiding Officer.

In lieu of responding directly to the Presiding Officer’s inquiry, Respondents once again use the opportunity of the inquiry posed to further the existence of the fictional entity “Global Auto Enterprise” and to describe an alleged internal arrangement as to various aspect of the vehicles’ transport inclusive of reference to a specious document entitled “special contract” which is conspicuously absent from the annexed documents, which entirely aside from its self-serving nature, does not respond to the direct inquiry posed.

7. ***For each carrier, identify the date of delivery.***

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the date of delivery of the subject vehicles for each carrier, to wit: for EUL as *admitted* carrier of the subject vehicles to the point of destination and under ordinary circumstances this would be the date that the subject vehicles were delivered by the consignee, Carcont, to Complainants as *ultimate* consignee. Due to the fraudulent activities of Respondents complained of herein, however, the subject vehicles were never released by Carcont to Complainants. Rather, as set forth in the subject complaint and as contended by Complainants to the time of this writing, Carcont in obvious collusion with EUL, conspired to manufacture spurious and specious storage and demurrage charges and then illegally converted the vehicles and sold same to third-parties in furtherance of self-adjudicating manufactured and non-existent damages in the form of said false and fraudulent charges levied by Respondents upon Complainants.

Accordingly, and due solely to the nefarious activities of Respondents and their fellow conspirators set forth above, “date of delivery” can now, due to the machinations of Respondents, only reasonably be construed as the dates that Carcont began storing the subject vehicles.

As with each and every of the preceding inquiries posed by the Presiding Officer, Respondents once again gratuitously proffer grossly irrelevant “argument” inclusive of making

vague and unsupported references to “the carrier’s obligation”, more egregiously so by grossly misstating and fraudulently representing same as “port to port” when in reality, EUL as carrier’s obligation encompassed the point of origin, being EUL’s warehouse, to the point of destination, being Carcont’s facilities where the vehicles were to have been released to the ultimate consignee, and not converted by Respondents and later sold to third parties to allegedly satisfy a loan to Mr. Kapustin. In so doing, Respondents baldly seek to substitute their own ‘world view’ of transportation of the subject vehicles via a “head in the sand” approach which ignores both transportation of the subject vehicles to the vessel, as well as transport of the vehicles to the customs bonded warehouse after arriving at the port of destination.

8. *Identify the entity that directly paid each common carrier for the transportation by water.*

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the entity that directly paid each common carrier for the transportation by water.

Notably, EUL, in responding to this inquiry, abandoned their pointless charade refuted by the very affidavits upon which EUL has misrelied herein of EUL as only an “assumed” common carrier.

More significantly, EUL blatantly admits as to having been “...paid directly by G Auto Sales Inc.” with respect to two of the subject vehicles, and as to having further been “paid directly by Effect Auto USA”. Conspicuous by its absence, is *any* reference to either the fictitious entity “Global Auto Enterprise” or any of its bastardized nomenclatures speciously and disingenuously vaunted by Respondents.

As to MSC as common carrier, and EUL’s admission that MSC “...was paid directly by Empire”, it is respectfully submitted that by having admitted to making payment directly to MSC, EUL has implicitly, if not explicitly correspondingly admitted their now unmasked and unassailable role as having acted as an NVOCC with respect to the shipments at issue.

With respect to the inevitable gratuitous “argument”; as ever irrelevant and nonresponsive to the Presiding Officer’s inquiry, Respondents proffer the unremarkable fact that “Complainants have never contended that they paid anything directly to Empire”. It is respectfully submitted that the foregoing is a “red herring” in that as Complainants purchased the vehicles from G Auto Sales Inc. (admitted by Respondents in numerous documents as being the seller of the subject vehicles), *there is and was no reason whatsoever* why Complainants would have made payment to EUL.

Interestingly, Respondents have inadvertently stumbled into the truth by correctly representing that Complainants have indeed claimed “...that they paid the entity [G Auto Sales Inc.] that paid Empire...”. Alternatively stated; Complainants [paid G Auto Sales] for the vehicles, and G Auto Sales paid EUL to ship the vehicles.

Equally irrelevant, are the didactic pronouncements of Respondents’ counsel in the form of extracurricular commentary as to the sufficiency of motion papers pending before the Presiding Officer. In so doing, Respondents again attempt to “cheat the rules” of the Presiding Officer’s subject nine (9) inquiries by continuing to improperly attempting to regurgitate arguments in

support of said motion, in lieu of clear, concise and cogent responses to the Presiding Officer's inquiries. Neither is it of any merit or moment as to whether or not Complainants have paid for the subject vehicles in full at the time that they were appropriated, converted and resold by Respondents and their agents in alleged satisfaction of fraudulent charges levied by Respondents upon Complainants.

9. ***Did the vessel-operating common carrier transport the cargo pursuant to a service contract with respondent Empire United Lines Co., Inc.?***

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks to ascertain whether the vessel-operating common carrier, undisputedly MSC, transport the cargo pursuant to a service contract with EUL.

It is respectfully submitted that though studiously ignored by Respondents, the service contract entered into between EUL and MSC referred to in Complainants Response to the Presiding Officer's nine (9) inquires, clearly sets forth and unequivocally establishes that EUL certified to MSC that it was acting in the capacity of NVOCC with respect to the cargo shipped by EUL pursuant to the service contract.

Incredibly, and despite the barest simplicity of the inquiry posed, neither were Respondents able to give a short, concise and declarative response to the Presiding Officer's inquiry, even more incredibly, and almost impossible to comprehend is the height of the arrogance of Respondents' counsel which apparently runs to actually criticizing the issue identified by the Presiding Officer and resulting instant inquiry as "a red herring". It is noted, however, amidst such breathtaking hubris is EUL's admission of having a service contract with MSC. Curiously, Respondents' counsel takes it upon himself to raise the issue of the contract's certification (or lack thereof), an issue which was not raised in the Presiding Officer's inquiry, but is nonetheless telling for its misplaced focus.

Even more curiously, is Respondents' implicit suggestion that a shipper in this case was acting in "...two (or more) capacities...". While the foregoing would appear to be, on its face, yet another "sideshow" calculated to distract the Presiding Officer from the inquiry posed, Respondents' *sua sponte* introduction of this issue is revealing, in that what Respondents appear to be arguing is not whether a shipper can certify a contract in more than one capacity, but rather one more seminal basis, whether a shipper can act in more than one capacity with respect to a single shipment. Apparently, neither do Respondents know of any authority which allows a shipper in the first instance to act in more than one capacity with respect to a single shipment at issue, else surely Respondents would have proffered such authority in their Response, to which under the Presiding Officer's rules, no "sur-reply" may be served to cure such obvious deficiency.

In either case, and endemic to each and every one of Respondents' purported responses to the Presiding Officer's inquiries, such "argument" has no bearing whatsoever to the inquiry posed, which could have been answered in a single word, to wit: "yes".

CONCLUSION

In closing, and despite the machinations of the Respondents addressed above, most of the answers to the Presiding Officer's nine inquiries may be answered simply by referring to the Memorandum and Order of the Honorable Sandra L. Townes, filed November 7, 2013 and dated November 5, 2016 (from the matter of Global Auto Inc. et al., v. Michael Hitrinov et al., U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-2479). This Memorandum and Order has been annexed as Appendix "B" to Complainants' Response to Order for Parties to Supplement the Record, filed by Complainants on July 26, 2016, and which reads, in relevant part, as follows:

"...the following facts are drawn from the...complaint in this action (the "Complaint") **and are not in dispute**...The cars were delivered to EUL's facilities in Elizabeth, New Jersey, loaded into shipping containers, and shipped via MSC vessels to Finland. There, the cars were unloaded and stored in a warehouse owned by Carcont, Ltd. - an entity which, Plaintiffs allege on information and belief, is wholly owned by Hitrinov." (Memorandum and Order, p. 2) (emphasis added)

"At the time the vehicles were delivered to EUL, the vehicles had already been pre-sold to customers overseas." (Id. at p. 4)

"...most of the overseas customers pre-paid the purchase prices of their respective vehicles in advance of delivery..." (Id.)

The Presiding Officer should not be misled by the Respondents' attempts to "muddy the waters" with documents newly created by them for the purposes of this litigation (such as emails on the letterhead of Respondents' counsel that were clearly cut and pasted and which have had content removed), nor by Respondents specious references to "special agreements" or other excuses as to why certain documentation was not prepared, created, or filed by Respondents during the export process.

Additionally, the Presiding Officer should not be misled by "the law according to Respondents' Counsel", nor give accord to Counsel's "assumptions" as to whether or not Respondent EUL was acting as carrier. As set forth above, the "assumption" as to this issue has

indeed transitioned into an admission by Respondents that EUL was indeed acting as a carrier. Any argument to the contrary is belied by EUL having certified its status as NVOCC in its service contract with MSC and it is undisputed that no other service contract exists which contains a different certification of EUL's status. The foregoing additionally serves to establish that in stark and a marked contrast to the representations of Respondents, that neither EUL nor Mr. Hitrinov can in any way, be construed as "Beneficial Cargo Owner".

In light of the foregoing, it is respectfully submitted that the Commission indeed has jurisdiction over this matter.

Respectfully submitted,

Dated: August 9, 2016
Brooklyn, New York

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

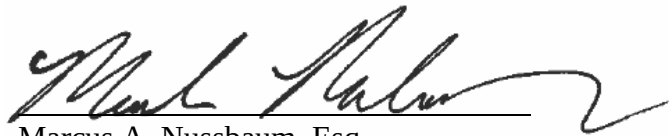
Marcus A. Nussbaum (MN9581)
P.O. Box 245599
Brooklyn, NY 11224
marcus.nussbaum@gmail.com
(888)-426-4370
Attorney for Complainants

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the attached **COMPLAINANTS' REPLY TO RESPONDENTS' RESPONSE TO ORDER FOR PARTIES TO SUPPLEMENT THE RECORD** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
799 9th Street NW, Suite 500
Washington, DC 20001-4501

by first class mail, postage prepaid, and by email (ejeffrey@nixonpeabody.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", is written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainant
marcus.nussbaum@gmail.com

Dated: August 9, 2016 in Brooklyn, New York.